

SOC 2 Type II Compliance Report -- Tax Data Processing Controls

Report Period: Jan 1 - Dec 31, 2024 | Auditor: Deloitte & Touche LLP | System: AMEX Tax Data Processing Platform

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1. Scope and Objectives

This SOC 2 Type II report covers the Tax Data Processing Platform operated by American Express Company's Enterprise Tax Department. The platform processes tax-related data for US federal, state, and international tax compliance, including Forms 1099, 1042-S, and country-by-country reporting.

The examination covers the Trust Services Criteria for Security, Availability, Processing Integrity, and Confidentiality for the period January 1, 2024 through December 31, 2024.

2. System Description

The Tax Data Processing Platform consists of: (a) data ingestion pipelines collecting transaction data from 47 source systems across card member services, merchant services, and corporate treasury; (b) a tax calculation engine applying jurisdiction-specific rules for 130+ jurisdictions; (c) regulatory filing generation for IRS, state agencies, and foreign tax authorities; (d) a reconciliation framework ensuring data integrity across processing stages.

The platform processes approximately 2.3 billion transaction records annually and generates over 45 million tax information returns.

3. Control Activities and Test Results

Control C-1 (Access Management): Logical access to the Tax Data Processing Platform is restricted to authorized personnel through multi-factor authentication and role-based access controls. Tested 4 quarters: No exceptions noted.

Control C-2 (Change Management): All changes to tax calculation rules and filing templates follow a documented change management process including peer review, testing in a non-production environment, and management approval. Tested 4 quarters: 1 exception noted -- a configuration change was deployed without documented test results in Q2 2024. Management remediated the control gap in Q3 2024.

Control C-3 (Data Integrity): Automated reconciliation controls verify completeness and accuracy of tax data at each processing stage. Tested 4 quarters: No exceptions noted.

4. Auditor Opinion

In our opinion, the controls within the Tax Data Processing Platform were suitably designed and operating effectively throughout the examination period to provide reasonable assurance that the applicable trust services criteria were met, subject to the exception noted in Control C-2.